

PURGING THE P-N

■ By Malini Bhupta

Nothing perturbs M. Damodaran, chairman of the Securities and Exchange Board of India (SEBI). Whether it's a 1,700 point fall in the Sensex after the release of a draft paper on participatory notes (P-Notes) or a 870-point rise exactly a week later. He could well be the archetypal poker-faced regulator except for his penchant for humour.

A cacophony of views from market players or the bungee by the Sensex don't seem to bother the SEBI chief much. As regulators must, he chooses not to react to market fluctuations or the tantrums of traders. He believes the markets are fortified with supervision and regulation and that he need not bother about the daily tantrums of traders. To his credit, under his watch the Sensex has risen from 6,589.29 points to 18,512. But all that pales in the face of the challenge he has taken up: of ending the reign of P-Notes.

These notes are a unique Indian invention started in 2000 by SEBI to enable foreign corporates and high networth investors enter the Indian market without having to go through the process of registering as Foreign Institutional Investor (FII). It may have made sense to some, but why a foreign investor should be allowed anonymity while Indian investors have to disclose their identity, defies logic. For years committees have suggested that participatory notes be abolished or curbed. SEBI itself had asked FIIs in 2004 to wind these up in five years. But investment has only gone up from Rs 31,875 crore (20 per cent of assets under custody) in March

2004 to Rs 3,53,484 crore (51.6 per cent of AUC) by August 2007.

This ride obviously had to end. On October 16, SEBI released a draft report on the proposed guidelines to impose curbs on P-Notes. Faced with increasing global volatility, entry of leveraged funds and the near vertical rise in the Indian stock market, the move wasn't a day late and had the backing of most on the Dalal Street. Commenting on the development, Manoj Vaish, president & CEO, Dun & Bradstreet, says: "I fully support the move, in fact this should have been done earlier. Any 'anonymous investment' reduces the financial discipline that a regulator must impose on the market."

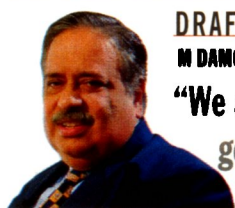
It was a sentiment that the market did not agree with. It tanked, fearing a mass pull-out by foreign funds. Damodaran had to control the damage by saying that the idea was still at a draft stage and merely intended to end the opaque nature of investments.

The draft intends to impose curbs on P-Notes, which are essentially overseas derivative instruments, issued to investors who are either not registered in India or are not interested in registering. Their underlying assets can be Indian equity, debt or exchange-traded derivatives. Simply put, investors who are not eligible to invest in India or do not want to register themselves are trading in Indian equity, debt and derivatives.

While most players believe this will tighten capital markets and ensure that long-term inflows come into India, in the short-term the markets will remain choppy as the derivative positions of P-Notes will have to be

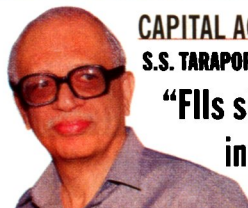


SAURABH SINGH



DRAFT REPORT ON PNs, 2007
M DAMODARAN, CHAIRMAN, SEBI

"We are just asking FIIs to get back to doing what they came here for."



CAPITAL ACCOUNT CONVERTIBILITY, 2006
S.S. TARAPORE, FORMER DEPUTY GOVERNOR, RBI

"FIIs should be prohibited from investing fresh money raised through PNs."